

Presentation 3 - Edge example, Journaling, Position sizing.

Successful trading relies on identifying a quantifiable edge, effective risk management, and disciplined execution through detailed analysis and journaling.

- [00:00](#)  Traders must identify their edge and manage risk effectively, as relying on market feedback can lead to unsustainable success and losses.
 - The speaker reflects on a previous call that was distracting due to background noise and considers not uploading it since it reiterated points already discussed.
 - Traders often mistakenly believe they can succeed by relying on positive market feedback, especially in a bull market, despite making poor entry decisions.
 - Participating in crypto markets involves capturing risk premiums and trends, akin to the difference between picking up a \$20 bill on a sidewalk versus a \$100 bill in a highway, where greater risks yield higher potential returns.
 - Many new market participants experience initial success or "beginner's luck," but this is often unsustainable, leading most to either lose or exit after a big win.
 - Establishing and identifying a trading edge is crucial for success, as most traders overestimate their skills and struggle to outperform the market without effective risk management and position sizing.
 - Smaller traders have access to unique trading edges in altcoins due to institutional capacity constraints, making it crucial for them to identify and exploit these opportunities to become profitable.
- [13:01](#)  Identifying market patterns and maintaining a quantifiable edge through diligent research and journaling are crucial for consistent trading success, as relying on intuition often leads to losses.
 - Identifying and exploiting various market patterns, beyond simple candlestick formations, can provide a consistent trading advantage.
 - Institutional traders can gain an edge through quantifiable strategies and skills, but relying solely on trading psychology or intuition is insufficient without a defined edge.

- Success in trading requires diligent research and understanding of simple patterns rather than relying on intuition or short-term success.
- Many traders enter the market during bullish phases, often leading to losses when they buy at peaks, as they are influenced by recent successes and external encouragement.
- Market behavior often resembles random patterns, similar to coin flips, where short-term trends can mislead investors, but over time, outcomes tend to stabilize around expected values.
- Success in trading relies on having a quantifiable edge and proper journaling, as relying on randomness leads to inevitable losses.
- [26:22](#)  Build trading confidence by focusing on your best setups, mastering risk management and position sizing, and adhering to strict rules to avoid significant losses.
 - Building confidence in trading comes from identifying and doubling down on your best setups while understanding the importance of risk management and position sizing to avoid guaranteed failure.
 - Retail traders often experience a negatively skewed return profile, accumulating small wins but facing one significant loss that wipes out their gains, highlighting the importance of understanding both win rates and overall profitability.
 - Understanding risk management, win rate, and position sizing is crucial for successful trading, emphasizing the need for a substantial sample size of trades to identify a reliable edge.
 - Position sizing is crucial for managing risk in trading, with a recommended maximum risk of 1% per trade to ensure longevity and the ability to recover from losses.
 - Establishing a trading edge and practicing proper position sizing are essential for success, as they provide opportunities for improvement and honest feedback.
 - To succeed in trading, one must commit to following strict rules and stop engaging in detrimental behaviors that lead to significant losses.

- [45:49](#)  Focus on New York session price action, manage risk with a 2:1 return strategy, and maintain detailed trade journals to refine execution and improve profitability.
 - To effectively trade, focus on the New York session's price action and establish specific criteria to systematize your approach based on market conditions.
 - Reduce trend system exposure during unfavorable periods, focus on healthy uptrends for entry opportunities, and aim for a 2:1 return while managing risks with limit orders.
 - Focus on risk-reward ratios, track win-loss outcomes, and analyze maximum adverse and forward excursions to refine trade execution.
 - Effective trading involves analyzing price action at key levels, managing stop placements, and understanding maximum adverse excursion versus maximum forward excursion to refine execution and improve profitability.
 - Create separate Excel sheets for each trading edge to record essential details like setup, trigger conditions, context, invalidation logic, entry style, and exit criteria for effective trade journaling.
 - Journaling trading experiences, including performance and emotional responses, is crucial for developing intuition and refining strategies over time.
- [01:05:48](#)  A mechanical trading strategy showed an 85% win rate, emphasizing the importance of position sizing, automated journaling, and continuous edge refinement for consistent trading success.
 - Over a 14-day period, a mechanical trading strategy based on daily open setups yielded an 85% win rate with an average gain of 1.38% per trade, highlighting the potential for a strong positive edge in trend-following strategies.
 - Transaction costs and slippage can negate small trading edges, making it crucial to assess expected value and position sizing carefully, especially for smaller accounts aiming to compound growth.
 - Continuously refining multiple trading edges, particularly in less efficient markets, can provide consistent opportunities, but reliance on any single edge is risky due to market corrections.

- Using a fixed trade size approach minimizes risk and variance for beginners, allowing for gradual growth while developing a trading edge through consistent data analysis and backtesting.
- Utilizing automated journaling software is essential for traders to identify patterns, improve their edge, and make informed adjustments based on data analysis.
- Trading success relies on monitoring your equity curve for immediate feedback on performance, necessitating diligent journaling and risk management.
- [01:34:50](#)  Focus on price action patterns and VWAP retests to build a trading edge while leveraging experience and market analysis tools.
 - Focus on price action patterns and the first retest of weekly VWAP after a strong breakout from a multi-week range for reliable trading opportunities.
 - Focus on building a data set around price action at key levels, such as VWOP and balance breaks, to identify reliable trading setups and formulate a quantifiable edge.
 - Over time, traders develop intuitive edges through experience and awareness of market behaviors, starting with basic price action setups and gradually recognizing more nuanced opportunities.
 - Building a trading edge requires experience and context, focusing on relevant macro factors without overanalyzing every detail to avoid unnecessary corrections.
 - Various software platforms now exist to help traders identify market edges and analyze price action, particularly focusing on high time frame engulfing patterns that tend to be more actionable at lows.
 - Building a successful YouTube presence often requires compromising authenticity, such as using personal images in thumbnails, which some creators find uncomfortable.
- [01:48:48](#)  Refining trading edges through personal data analysis, risk management, and focused asset specialization is crucial for success, as exemplified by Chris Cidial's journey and the importance of understanding leverage and market dynamics.

- Refining trading edges requires personal analysis of raw data and understanding risk and position sizing, as obvious opportunities are often exploited quickly, leaving unexplored potential for individual success.
- Chris Cidial, a successful trader and founder of Ambress, exemplifies a self-made individual who transitioned from a challenging background to thrive in both trading and jiu-jitsu, while his partner achieved significant trading success independently before joining the firm.
- Traders at major banks focus on facilitating market flow with informational advantages, while aspiring traders should specialize in two to three assets to develop a deeper understanding of market dynamics and maintain trading opportunities.
- Video game skills can enhance trading success, particularly in scalping, but overfitting strategies with too many parameters can hinder performance, so focus on general patterns and refine execution instead.
- When trading, prefer Bitcoin over altcoins for more predictable and reliable returns, especially if both are moving similarly, as alts carry higher risk and variance.
- Leverage is often misunderstood; it primarily reflects margin standards, while actual trading impact comes from position size.
- [02:05:21](#) 💰 Effective trading hinges on money management, enhancing execution value, and grasping price action for better market understanding.
 - Key concepts of effective trading include understanding the importance of making and preserving money, with resources and slides to be shared after the workshop.
 - The discussion focuses on enhancing the value of the footprint in execution and understanding price action to clarify price movement concepts.

Summary for: <https://youtu.be/Rqdl5Eop5yk> by [Noiz](#) — [Transcript From YouTube Video](#)